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Case Number: 25STCV09320 Hearing Date: July 1, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion for Summary Adjudication

The Motion for Summary

Adjudication filed by Ford Motor Company

is denied.

BACKGROUND

Plaintiff John T Tuttle

filed this action against Ford Motor Company

(Ford) and Santa Monica Ford Lincoln

(collectively "Defendants"), alleging that the 2021 Ford

Explorer he purchased on May 20, 2021 (Subject Vehicle) had a defective 10R80

transmission that was susceptible to sudden and premature failure, and that

Ford knew of the transmission defect before the sale but failed to disclose it.

The causes of action are: (1) Violation of Civil Code

Section 1793.2, subdivision (d); (2) Violation of Civil Code Section 1793.2,

subdivision (b); (3) Violation of Civil Code Section 1793.2, subdivision

(a)(3); (4) Breach of the Implied Warranty of Merchantability; (5) Negligent

Repair; and (6) Fraudulent Inducement – Concealment. The first four and the

sixth causes of action are alleged against Ford; the fifth cause of action is

alleged against Santa Monica Ford Lincoln.

Ford Motor Company filed

a Motion for Summary Adjudication of the

sixth cause of action for fraudulent inducement – concealment. Plaintiff filed

an Opposition.

REQUEST FOR JUDICIAL NOTICE

Plaintiff requests judicial notice of nineteen exhibits offered in support of the Opposition. (Evid. Code, §§ 451, 452, 459.)

Exhibits 1 through 17 are internal Ford documents and excerpts of the deposition testimony of Ford personnel, unsealed on February 24, 2026, in *Avila v. Ford Motor Co.* (N.D.Cal. 2026) 2026 WL 508364. The Court takes judicial notice of these exhibits as records of a court of the United States. (Evid. Code, § 452, subd. (d).) Exhibit 18 is a set of Ford technical service bulletins, and Exhibit 19 is Ford Safety Recall 22S27; both are publicly accessible records, and the Court takes judicial notice of them as well. (Evid. Code, § 452, subds. (c), (h).)

The Court takes judicial notice of the existence of these documents, but not of the truth of the matters asserted in them. (*Lockley v. Law Office of Cantrell, Seipp & Anderson* (2001) 91 Cal.App.4th 875, 882 [judicial notice of a court record establishes the record's existence, not the truth of the matters asserted in it].)

LEGAL STANDARD

“A party is entitled to summary adjudication of a cause of action if there is no triable issue of material fact and the party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c, subds. (c) & (f)(1).) ‘A motion for summary adjudication shall be granted only if it completely disposes of a cause of action’ (Code Civ. Proc., § 437c, subd. (f)(1).) A defendant is entitled to summary adjudication of a cause of action if she demonstrates that the plaintiff cannot establish one or more elements of the cause of action. (Code Civ. Proc., § 437c, subd. (p)(2).) [¶] A court considering a motion for summary adjudication must view the evidence and reasonable inferences from the evidence in the light most favorable to the opposing party, as on a motion for summary judgment. [Citation.]” (*Borman v. Brown* (2021) 59 Cal.App.5th 1048, 1055.)

To meet this burden of showing a cause of action cannot be established, a defendant must show not only “that the plaintiff does not possess needed evidence” but also that “the plaintiff cannot reasonably obtain needed evidence.” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th

826, 854.) The supporting evidence can be in the form of affidavits, declarations, admissions, depositions, answers to interrogatories, and matters of which judicial notice may be taken. (Id. at p. 855.) “Once the defendant . . . has met that burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(2).) The plaintiff may not merely rely on allegations or denials of its pleadings to show that a triable issue of material fact exists, but instead, “shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action.” (Ibid.) “If the plaintiff cannot do so, summary [adjudication] should be granted.” (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal.App.4th 463, 467.)

ANALYSIS

Ford moves for summary adjudication of the sixth cause of action for fraudulent inducement –concealment on three grounds: that Plaintiff cannot establish Ford's pre-sale knowledge of a transmission defect; that Plaintiff cannot establish a transactional relationship giving rise to a duty to disclose; and that the economic loss rule bars the claim. None of these grounds entitles Ford to summary adjudication.

I. Late-Filed Opposition

As a preliminary matter, Plaintiff's Opposition was due June 11, 2026, and was filed June 15, 2026, two court days late. Plaintiff's counsel has submitted a declaration under Code of Civil Procedure section 473, subdivision (b), taking responsibility for this oversight. Ford has filed an objection to the late Opposition, asking the Court either to decline to consider it or, in the alternative, to continue the hearing and permit Ford to file a reply. (Ford's Obj. to Pl.'s Untimely Opp., filed June 18, 2026.)

The Court has broad discretion to consider a late-filed opposition, and the law favors the disposition of cases on their merits. (Cal. Rules of Court, rule 3.1300(d).) The authority on which Ford relies confirms that the decision is within the Court's discretion. (Bozzi v. Nordstrom, Inc. (2010) 186 Cal.App.4th 755, 765 [recognizing the trial court's broad discretion to refuse papers filed beyond the deadline absent a prior finding of good cause].) The delay here was brief, Plaintiff's counsel has explained it, and Ford has not shown prejudice. Ford's argument that the late filing deprived

it of the full time to reply under Code of Civil Procedure section 437c, subdivision (b)(4), is not persuasive. Reply papers were due no later than five days before the July 1, 2026 hearing, and Ford had until June 26, 2026 to file them. On this record, the Court exercises its discretion to consider the Opposition, declines to continue the hearing, and overrules the objection.

II. Pre-Sale Knowledge of the Transmission Defect

The elements of fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the fact. (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.)

Ford first argues that Plaintiff cannot establish that Ford knew of a transmission defect at the time of sale. Ford's main argument, that Plaintiff never presented the Subject Vehicle for any transmission-related issue, does not establish the absence of a triable issue. A repair presentation is not an element of a fraudulent concealment claim. The claim turns on the manufacturer's pre-sale knowledge and concealment, not on the buyer's post-sale conduct. (*Anderson v. Ford Motor Co.* (2022) 74 Cal.App.5th 946, 966-967 [a fraud claim rests on the manufacturer's pre-sale conduct, whereas a Song-Beverly claim rests on post-sale conduct].) Whether Plaintiff later presented the Subject Vehicle for transmission repairs is therefore immaterial to this cause of action.

Plaintiff offers Ford's own internal communications, technical service bulletins, and the deposition testimony of Ford personnel, produced by Ford and unsealed in the Avila litigation, as evidence that Ford was generally aware of the defect in the 10R80 transmission. Although the Court does not take judicial notice of the truth of these documents, they are competent evidence as Ford's own records and the statements of its own employees, offered against Ford as admissions of a party opponent. (Evid. Code, § 1220.) This evidence indicates that Ford was aware of recurring defects in the 10R80 transmission as early as 2012, years before the May 20, 2021 sale. (Pl.'s Sep. Stmt. Nos. 1-19; RJN Exs. 1-19.) Viewing this evidence and the reasonable inferences from it in the light most favorable to Plaintiff, a

triable issue of material fact exists as to whether Ford knew of the transmission defect before the sale and concealed it. Summary adjudication is not warranted on this ground.

III. Duty to Disclose and the Transactional Relationship

Ford next argues that Plaintiff cannot establish a transactional relationship sufficient to establish a duty to disclose, because Plaintiff purchased the Subject Vehicle from an independent dealership rather than from Ford. A duty to disclose a material fact can arise “(1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.) The latter three grounds require a transactional relationship between the parties. (*Id.* at pp. 336-337.)

Transactional relationships include “seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (*Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1187.) Also, under California law, a vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 859.)

Ford relies, as it did on demurrer, on *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 312, for the proposition that a duty to disclose arises only where there is already a sufficient relationship or transaction between the parties. However, unlike the medical device manufacturer in *Bigler-Engler*, Ford had a direct transactional relationship with Plaintiff because it made express warranties regarding the Subject Vehicle. Although a manufacturer’s warranty that comes with the sale of a vehicle is independent of the sale contract between the buyer and the dealer (*Davis v. Nissan North America, Inc.* (2024) 100 Cal.App.5th 825, 837), that does not mean the warranty cannot be a direct transactional relationship. Unlike the manufacturer in *Bigler-Engler*, which had no direct contact with the patient who rented the device, Ford has direct contact with the

recipients of its express warranties, and Ford admits that it issued an express warranty to Plaintiff. (Mot. at pp. 16-17.)

Ford's reliance on Ford Motor Warranty Cases (2025)

17 Cal.5th 1122 does not change this conclusion. That decision held only that a manufacturer cannot compel arbitration under the arbitration clause in a dealer's sales contract, because the buyer's warranty and fraud claims "flow not from the contracts but from separate statutory requirements and conventional fraud theories." (Id. at p. 1138.) It addressed the formation of a contractual relationship for purposes of equitable estoppel and arbitration, not the existence of a duty to disclose for purposes of fraud.

The Court overruled Ford's demurrer to this cause of action on this same transactional-relationship ground. Here, Ford offers no evidence negating the warranty-based relationship. A moving defendant bears the burden of negating the theories of liability as alleged in the complaint. (*Nativi v. Deutsche Bank National Trust Co.* (2014) 223 Cal.App.4th 261, 290.) Because it is undisputed that Ford issued an express warranty to Plaintiff, Ford has not shown, as a matter of law, the absence of a duty to disclose. Accordingly, summary adjudication is not warranted on this ground.

IV. The Economic Loss Rule

Finally, Ford argues that the economic loss rule bars the claim because Plaintiff seeks only economic losses from disappointed expectations. The economic loss rule requires a contracting party to recover in contract for purely economic loss due to disappointed expectations, unless the party can show harm above and beyond a broken contractual promise. (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.) Robinson, however, decided only the case of an affirmative intentional misrepresentation and expressly declined to address fraudulent concealment. (Id. at p. 991.)

As the Court explained in overruling Ford's demurrer, this issue is controlled by *Dhital*, which held that the economic loss rule does not bar a claim for fraudulent inducement by concealment. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 840.) The California Supreme Court granted review of *Dhital* pending its decision in *Rattagan*, and after deciding *Rattagan*, it dismissed review without ordering depublication; *Dhital* therefore remains binding authority. (Cal. Rules

of Court, rule 8.528(b).) Indeed, Rattagan expressly declined to address the application of the economic loss rule to claims of fraudulent inducement by concealment. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 41, fn. 12.) Accordingly, the economic loss rule does not bar the claim, and summary adjudication is not warranted on that ground.

CONCLUSION

Ford Motor Company's Motion for Summary Adjudication is denied.